DROWNING IN DEBT

PREDATORY LENDING & YOUNG CANADIANS

DEBT IN CANADA

- Debt in Canada is rising every year
- Young people are more at risk
- Easy access to credit increases spending
- High cost of living increases borrowing
- Ages 18–25: $8,445 average debt
- Canada average: $22,147
- 2.21% of youth miss or delay payments
- Debt can quickly become hard to manage

CREDIT CARD DEBT: THE HIDDEN TRAP

- Credit cards charge about 19% interest
- Interest builds up quickly over time
- Minimum payments seem small but are risky
- $2,000 debt = ~4 years to pay (minimum only)
- Debt grows even if you stop spending
- Late payments add extra fees
- Easy to lose control without noticing

HOW TO AVOID A DEBT TRAP

- Pay more than the minimum amount
- Pay your balance in full when possible
- Higher payments = less interest + faster payoff
- $2,000 debt can be cleared much faster with extra payments
- $5,000 debt = 20+ years with minimum payments
- Track your spending regularly
- Set a monthly budget
- Avoid unnecessary credit use

WARNING SIGNS

- Only paying the minimum each month
- Balance keeps increasing
- Using credit for daily needs
- Struggling to make payments
- Missing or late payments
- Getting close to your credit limit
- Youth delinquency rate: 2.21%
- Feeling stressed about money